Central 55 Motor Automotive Business Management Apps

BUSINESS CASE

oleh

Abdiel Adelard Riva - 2502012672

Fakhri Muzakki - 2502009431

Kenny William Phan - 2502020125

Madeline Elena Djunaedi - 2502012552

Noor Azizah - 2501998302

Information Systems Program

Information Systems Study Program

School of Information Systems

UNIVERSITAS BINA NUSANTARA

JAKARTA

2022/2023

[Central 55 Aplikasi Manajemen Bisnis Otomotif Motor]

[*Central 55 Motor Automotive Business Management Apps*]

BUSINESS CASE

Diajukan sebagai salah satu syarat
untuk kelulusan mata kuliah ISYS 6256003 *Information Systems Project Management*

oleh

Abdiel Adelard Riva - 2502012672

Fakhri Muzakki - 2502009431

Kenny William Phan - 2502020125

Madeline Elena Djunaedi - 2502012552

Noor Azizah - 2501998302

Master Track Program

Information Systems Management Study Program

School of Information Systems

UNIVERSITAS BINA NUSANTARA

JAKARTA

2022/2023

Universitas Bina Nusantara

Pernyataan Business Case

Pernyataan Penyusunan Business Case

Kami, atas nama Abdiel, Azizah, Fakhri, Kenny, dan Madeline

Dengan ini menyatakan bahwa Business Case yang berjudul:

Laporan Akhir Mata Kuliah *Information Systems Project Management: Phan Family's Automotive Showroom Business Case*

Adalah benar hasil karya kami dan belum pernah diajukan sebagai karya ilmiah, sebagian atau seluruhnya, atas nama saya atau pihak lain.

Kenny William Phan
2502020125

Disetujui oleh Dosen Mata Kuliah,

Dr. Daniel Kartawiguna, ST., MM., M.Acc., PSM I **D2431** **8 Januari 2023**

KATA PENGANTAR

Puji syukur saya panjatkan kepada Tuhan yang maha Esa yang telah mengizinkan saya untuk menyelesaikan laporan terakhir mata kuliah dengan baik untuk memenuhi syarat dari mata kuliah *Information Systems Project Management* yang telah diberikan oleh BINUS University:

1. Bapak Prof. Dr. Ir. Harjanto Prabowo, MM., selaku rektor Universitas Bina Nusantara,
2. Bapak Dr. Ir. Yohannes Kurniawan, S.Kom., SE., MMSI selaku *Dean of School of Information Systems* Universitas Bina Nusantara,
3. Ibu Dr. Tanty Oktavia, S. Kom., MM., selaku *Head of Information Systems Program*
4. Bapak Sudiana, S.Kom.., MMSI. selaku *Enrichment Program Coordinator*
5. Bapak Dr. Daniel Kartawiguna, ST., MM., M.Acc., PSM I selaku *Dosen* yang sudah memberikan bimbingan, nasihat, bantuan, serta arahan kepada penulis selama menjalani program kegiatan perkuliahan dan penyusunan *business case.*
6. Dan pihak-pihak lainnya yang tidak dapat dijelaskan satu persatu.

Kami berterima kasih kepada banyak nama di atas yang telah membuat proses kuliah kami dapat berjalan dan memungkinkan kami untuk mempelajari manajemen proyek dalam Sistem Informasi. Kami berterima kasih juga untuk pengalaman yang saya dapatkan sehingga kami mengasah *soft skill* dan *hard skill* kami.

Kami juga sadar akan ketidaksempurnaan laporan akhir mata kuliah ini milik kami ini. Kami memohon maaf jika ada kesalahan kata atau perbuatan yang menyinggung yang ditimbulkan dari laporan akhir mata kuliah kami. Semoga laporan ini dapat digunakan untuk memperoleh informasi bagi para pembaca dan yang membutuhkan.

Jakarta, 8 Januari 2023

Kenny William Phan

DAFTAR ISI

Halaman Judul **1**

Pernyataan Penyusunan Business Case **3**

KATA PENGANTAR **4**

DAFTAR ISI **5**

DAFTAR TABEL **6**

DAFTAR GAMBAR **7**

EXECUTIVE SUMMARY **8**

BAB 1 INTRODUCTION **1**

1.1 Background 1

1.2 Current situation 1

1.3 Description of the problem or opportunity 1

Gambar 1.1 Phan family's business' logo. 2

1.4 Project's measurable organizational value 3

Tabel 1.1 MOV Statements 3

Tabel 1.2 MOV Table Format 3

1.5 How achieving the project's MOV will support the organization's goal and strategy 3

1.6 Objectives of writing this business case 4

BAB 2 **5**

Alternatives **5**

2.1 Database Implementation 5

2.2 Strengthening the professional ethics and political knowledge 5

2.3 Improving the work of team building and enhance the professional ability of personnel. 6

BAB 3 Analysis of Alternatives **7**

3.1 Methodology of how alternatives will be analyzed 7

3.1.1 Data collection methods 7

3.1.2 Metrics 7

3.2 Presentation of results that compares each alternative 9

3.2.1 Sensitivity Analysis 10

Gambar 2.1 Sensitivity Analysis. 10

3.2.2 Risks 10

3.2.3 Assumptions 11

3.3 Proposed recommendation 11

REFERENSI **12**

DAFTAR TABEL

Tabel 1.1 MOV Table Statement 3
Tabel 1.2 MOV Table Format 3

DAFTAR GAMBAR

Gambar 1.1 Phan family business' logo 2
Gambar 2.1 Sensitivity Analysis 10

EXECUTIVE SUMMARY

- Issue

Based on the results of the interview, the business problem experienced by the Phan family was the difficulty in recording data using manual bookkeeping in the form of a log book due to limited skills and capabilities of human resources for managing digital data.

- Unique Solution/Anticipated Outcomes

As explained above, the problem that we will address is focused on digitizing the bookkeeping of the Phan Family car showroom business so that initially manual recording through bookkeeping will become digital using a database system that is more complex and easy to use.

With the implementation of a database system, it will generate ease for the staff that handles bookkeeping and logbook. With databases, human errors such as data loss because of ripped paper or lost logbooks are mitigated. Database systems can help the Phan family's business in keeping all the required data to do each transaction that has happened (including customers, cars acquired, etc.). Database systems also help the staff that handles the bookkeeping process in searching for a specific data in a transaction since it is stored beautifully in the system and it also enables the admin to search for each and individual data.

- Market Potential

The market for automotive transactions was never infrequent. Buying a second handed automotive would be benefiting for some people because of the lower prices from the new cars, and when it is sold again the depreciation value would be lower than buying the new product.

SENSITIVITY ANALYSIS									
Central 55 Motor Automotive Business									
Assumptions									
Sold	10					Sold			
Price	$499		Price	$1,861	3	6	10	13	16
Cost	$138			$1,003	$847	$3,440	$6,897	$9,490	$12,083
Payroll	$1,746			$830	$330	$2,406	$5,174	$7,250	$9,326
				$659	-$185	$1,376	$3,457	$5,018	$6,578
				$499	-$664	$418	$1,861	$2,943	$4,025
Profit & Loss Statement				$356	-$1,092	-$439	$433	$1,086	$1,740
				$255	-$1,397	-$1,048	-$582	-$233	$116
Revenue	$4,990								
Cost of Sales	$1,383								
Gross Profit	$3,607								
SG&A	$1,746								
Operating Profit	$1,861								

- Recommendation

By achieving this project's Measurable Organizational Value, it then will obviously support the Phan family's automotive showroom's organizational goals and strategy. This specific project was built in the hope of helping Phan family's automotive showroom's growth in the industry. They hope to be able to conquer the second-hand cars showroom industry within the city of Balikpapan. Because the other showrooms in the area are still using manual bookkeeping and logbook for any organizational matters, then it will be very benefitting for the Phan family's business to be able to implement database systems into their business process. With the help of this project of digitizing Phan family's business' business recording, it will reduce the amount of human errors occurring in their business process, therefore they can maximize themselves in gaining profit to its maximum potential.

The aim of this particular business case of Phan family's automotive showroom company is to try and convince the stakeholders of the business and the parties that are involved in the decision-making process of the company that once this project is done well and implemented in the Phan family's business' business process, it will result for the best outcome for the Phan family's business. Because this project is also aligned with the Phan family's business overall goals and strategy, therefore this project is also going to really help the business for being one-step closer towards their overall organizational goals.

- Justification

With implementing this solution, the problem that has been occurring in Phan family's business (Central 55 Motor), involving bookkeeping and logbook or accounting matters in overall, will be solved. Not only that this project implementation would help Central 55 Motor in solving their problem, but this project also helps them tremendously in achieving their initial goals and objectives as a company.

BAB 1
INTRODUCTION

1.1 Background

The business idea was inspired from a problem that the Phan's Family used cars showroom business was experiencing. They are having difficulties in doing data recording because of the limitation in skills and abilities from the current human resources to process all the collected data. We decided to give a solution for businesses that have similar problems and provide data management services in the automotive field.

1.2 Current situation

Based on the recent interview we conduct last month with the Phan's family business owner, they are currently using the manual bookkeeping with a log book that is handled by a specific staff that was assigned only for inventory data management

1.3 Description of the problem or opportunity

Their business grew throughout the years, from a small kiosk to a warehouse with its own showroom now. Inventory and management that used to be simple and not complicated that are easy to manage have become a more complex system.

From that, they have plans to digitalize the internal system and still haven't found the system that fits their wants and needs. So, we took this as an opportunity to build a management system only for them and other businesses in the industry with similar problems.

Gambar 1.1 Phan family's business' logo.

1.4 Project's measurable organizational value

Area of Impact	The project will be successful if...
Customer	In the first 12 months of project implementation, customers' satisfaction will rise by 20%
Strategic	The showroom will be selling cars 5% below the overall market.
Financial	The sales growth of the showroom increases from 10-15% by the end of 2024
Operational	Within 1 year of implementation, there will be no customer data loss or mistakes.

Tabel 1.1 MOV Statements

Time Period	MOV
6 Months	5% car sales increasement
1 Year	8% car sales increasement
2 Year	15% car sales increasement

Tabel 1.2 MOV Table Format

1.5 How achieving the project's MOV will support the organization's goal and strategy

By achieving this project's Measurable Organizational Value, it then will obviously support the Phan family's automotive showroom's organizational goals and strategy. This specific project is built in the hope of helping Phan family's automotive showroom's growth in the industry. They hope to be able to conquer the second-hand cars showroom industry within the city of Balikpapan. Because the other showrooms in the area are still using manual bookkeeping and logbook for any organizational matters, then it will be very benefitting for the Phan family's business to be able to implement database systems into their business process. With the help of this project of digitizing Phan family's business' business recording, it will reduce the amount of human errors occurring in their business process, therefore they can maximize themselves in gaining profit to its maximum potential.

1.6 Objectives of writing this business case

The aim of this particular business case of Phan family's automotive showroom company is to try and convince the stakeholders of the business and the parties that are involved in the decision-making process of the company that once this project is done well and implemented in the Phan family's business' business process, it will result for the best outcome for the Phan family's business. Because this project is also aligned with the Phan family's business overall goals and strategy, therefore this project is also going to really help the business for being one-step closer towards their overall organizational goals.

BAB 2

Alternatives

2.1 Application for Administrator

From the passage we know that Phan family's business is currently looking for solution for their overall bookkeeping and log book processing. But with the human resources that they currently have, it is pretty hard for them to implement solutions that require them to deal with any advanced technologies.

An application for their admin to deal with customer data and all other data to complete their bookkeeping and log book process would really help. A simplified application that can help the admin create/input new data into the database, read any important data in completing any task, update any data in the database if changes are necessary, or delete any unwanted data. A simple data management application that can be used by the admin with just little time of practicing would really help improve the bookkeeping and log book process of Phan family's business.

2.2 Strengthening the professional ethics and political knowledge

Bookkeeping or accounting plays a big role in the business' overall quality and it is pretty much an obligation for the accounting department to have a strong political learning. Not only is it important for the staff to be skilled, but it is also really important for the staff to know more about the professionalism in accounting in order for the business not being sued for illegal discipline.

For the business, the first thing they need to make sure is that they have an accounting resource that is capable and have the base ideological education about accounting. With this, the business can have an accountant that can contribute to the business goal and overall development. Having an accountant that has all the basics all checked and good would be a really good starting point to move forward as an enterprise, but without having any knowledge or having low-level knowledge about political studies in the world of accounting would really be a dangerous move.

As an accountant, it is really important to know the general rules that have been implemented by the state, or that have been implemented internally within the enterprise itself. They have to strictly obey all the applied law regarding accounting and its surrounding. Therefore, they can play a positive role in keeping out the unhealthy practices in accounting works of the enterprise and ensuring the safety of the enterprise, making sure that the business wouldn't be sued for accounting matters.

2.3 Improving the work of team building and enhance the professional ability of personnel.

The professional ability of accountants can have a great impact on the quality of accounting work. Whether they have enthusiasm and enthusiasm for accounting work is also the basis of whether the accounting reform can realize the deep development. In order to ensure that the process of accounting reform can be promoted and the enterprise can develop actively, first of all, it is necessary to establish a reasonable mechanism for the training, selection and evaluation of accounting talents within the enterprise to enhance the professional enthusiasm of accountants. At The same time, it is necessary to improve the training of on-the-job accountants in enterprises and carry out on-the-job education activities through various forms,channels and levels.

Accounting reform can be promoted and the enterprise can develop actively if proper mechanisms are put in place. It is necessary to establish a reasonable and effective professional standard of enterprise accounting, and improve the quality of internal accountants in an all-roundway. Under The effective encouragement and restraint, the accountants can truly form the consciousness of serious work, create a positive atmosphere of accounting work, and cultivate both moral and talent.

BAB 3

Analysis of Alternatives

3.1 Methodology of how alternatives will be analyzed

Our method of determining or analyze our alternatives can be divided into few point such as :

- SWOT (Strengths, Weaknesses, Opportunities, and Threats) Analysis, this method help us defines many key point such as who is our competitors?, opportunities that occurred due to this database implementation, etc. These methods also help us discover what the company wants as well as adjust all the requirements asked by the company.
- Cost Benefit Analysis

  This method helps us to know the ratio or to compare between the cost issued and the benefit that the company could achieve based on our proposed alternatives.
- Risk Analysis

  These methods help us analyze and determine accurately all possibilities of risk that could occur in line with the implementation of our alternatives on the company's business process.

3.1.1 Data collection methods

The data collected used in this project are collected using an interview method where we made an appointment with the owner of Central 55 Motor and made an interview. The data obtained from this interview are then being brainstormed by our teams from each branch. The alternatives that are proposed are based on these brainstormed ideas.

3.1.2 Metrics

3.1.2.1 Sales

- Net Sales Revenue is one of the core calculations that affects every aspect of the business development. The value of net sales will be calculated with the following formula:

  Net Sales *= Gross sales - Discounts - Returns - Costs associated with discounts and returns.*

- Quota Attainment is also one of the sales metrics that indicates the sales target achievement. It is displayed in terms of percentage by measuring their performance against quota,

  Quota attainment *= Amount of sales achieved / Predetermined goal for the period.*

- Growth Rate is the most important factor in the business health indicator. The sales team performance compared to the competition is being valued by this calculation. It similarly easy to calculate,

  Sales growth rate *= (Current year revenue - Previous year revenue) / Previous year revenue X 100.*

3.1.2.2 Marketing

- Return on marketing investment is a type of ROI metrics that focuses on the profits of incremental sales that is a part of marketing activity which is simply described as a marketing department profit. ROMI can provide insights of the marketing activities' value in general or differentiate between channels, the formula is:

  Return on marketing investment *= (Sales growth - Marketing cost) / Marketing Investment x 100*

- Customer retention provides insights to know how much existing customers that stay during a specific period of time, the percentage is obtained by:

  Customer retention *= (Number of customers at end of a period - Customers added during period) / Number of customers at beginning of period*

- Customer acquisition cost is a cost that needs to be issued to turn a prospect into a customer. CAC includes all marketing and sales costs, from salaries to spent benefits. It is best to be calculated each year with:

  Customer acquisition cost *= Total marketing and sales spend / Number of new customers*

3.1.2.3 Financial

- Net Income is generally one of a business's biggest financial concerns. It's also an important starting point for calculating other key metrics, like net profit margin and earnings per share, the calculation is:

  Net income *= Total revenue - Cost of goods sold - Operating expenses - Other expenses - Interest - Taxes - Depreciation and Amortization*

- Current ratio measures a company's ability to pay off financial obligations that are due within a year and is calculated as the ratio of current assets to current liabilities. Current assets are those expected to convert to cash within a year (such as accounts receivable), while current liabilities are obligations due within a year (such as accounts payable). To calculate it:

  Current ratio = *Current assets / Current liabilities*

- Net profit margin, One of the most important indicators of a business's profitability, net profit margin measures how much actual profit is netted for each dollar of revenue made. This is important because revenue increases may not always translate into increased profitability. Before calculating the net profit margin, a business must calculate its net income. Then continue with:

  Net profit margin = *(Net income / Total revenue) x 100*

3.2 Presentation of results that compares each alternative

Based on the alternatives given these are our analyzed problems including the solution itself. In life everything can happen as well as in our proposed alternatives so if one alternative has flaws and needs a backup other proposed alternatives can be used as its substitute. The most effective solution that we offer would be the first alternative, Database Implementation. In managing data for a transitioning business, this option would be the vital update to the business process and a form of investment before moving into a larger scale of market. The alternatives were sorted based on its effectiveness in solving the problem statement. So the result in the business performance would likely be most effective with the first option.

3.2.1 Sensitivity Analysis

SENSITIVITY ANALYSIS								
Central 55 Motor Automotive Business								
Assumptions								
Sold	10				Sold			
Price	$499	Price	$1,861	3	6	10	13	16
Cost	$138		$1,003	$847	$3,440	$6,897	$9,490	$12,083
Payroll	$1,746		$830	$330	$2,406	$5,174	$7,250	$9,326
			$659	-$185	$1,376	$3,457	$5,018	$6,578
			$499	-$664	$418	$1,861	$2,943	$4,025
Profit & Loss Statement			$356	-$1,092	-$439	$433	$1,086	$1,740
			$255	-$1,397	-$1,048	-$582	-$233	$116
Revenue	$4,990							
Cost of Sales	$1,383							
Gross Profit	$3,607							
SG&A	$1,746							
Operating Profit	$1,861							

Gambar 2.1 Sensitivity Analysis.

3.2.2 Risks

Alternative 1 - Database Implementation

The main risk is the competition within the market and lack of capable human resource to operate it, our target is most likely to be a middle class business that needs an awkward system. Because of the transition from the simpler business process to a more complex and gradually bigger market scale sometimes could be challenging in terms of determining the implementation of a new system. If the system is too complex and costive, they still need the funds to do upgrades in other aspects like operations that optimize most of the budget and probably wouldn't be able to operate the system maximally. Vice versa with the simpler and cheaper system, anyone could operate it but the capacity of the system is limited and probably couldn’t accommodate all new inputs that keep coming each period. Building a new management system from the beginning itself is a new challenge for our business. But we assure that with our system, the company could utilize the system without having to worry the new system would be hard to manage or even not supporting the business process. The system would be designed simply, easy to navigate with complete features and adequate capacity.

Alternative 2 - Strengthening the professional ethics and political knowledge

Professional ethics and political knowledge are one of the basics aspects in a larger scale business. The work environment will surely need more regulations for the company to be able to grow even more. Some of the risks in applying new ethics and knowledge in the existing environment might be the election. People tend to be selective in applying new things to their existing business. They may not be willing to receive all the required knowledge or even reject it just because it does not live up to their expectations. It would be challenging when facing off a customer with similar speculation. With this solution, we planned on only implementing a few basic and simple ethics and knowledge that will surely support the business's performance and do not interfere with any business process.

Alternative 3 - Improve the work of team building and enhance the professional ability of personnel.

The risks are also similar with the first solution which is the competition, there are lots of companies that provide training for staff in general. And the competition within each service business is tight considering human resources are one of the aspects that determine the company's performance. Promising an exemplary standard of human resource needs a lot of maintenance and capability in cultivating the resources. There needs to be a qualified institution that would probably need larger funding. If we manage to provide this solution to our customer, we promise our customer that the service and resources that we provide would be quality assured and well-grounded in the automotive field.

3.2.3 Assumptions

We assume that we sold a database management system to 10 different parties with each of the sales valued at $499 with our one-time payment system. We don't have to pay for additional rent because at the moment, we don't operate in a specific office.

3.3 Proposed recommendation

Based on our research (including our sensitivity analysis) on the problem that has been occurring in Phan family's business (Central 55 Motor), which has been stated above in the previous sections of this paper, we have concluded that there are no significant failure-rate by implementing this database management system and other alternatives stated as solutions towards the concurring problem.

REFERENSI

Sensitivity Analysis - Microsoft Excel

What Is Data Collection: Methods, Types, Tools, and Techniques

(PDF) Problems and Solutions of Accounting Work in Enterprises

How Much Does Database Management Software Cost? | Capterra

Alternatives Identification - Planning Project Resources

What Are Business Metrics? 35 Metrics Businesses Need to Track | NetSuite

Marchewka, Jack T. Information technology project management : providing measurable organizational value / Jack T. Marchewka. – Fifth edition.